According to the media reports and law enforcement investigation, LeJ consisted of small semi-autonomous and loosely coordinated units spread in various areas of Pakistan.

This characteristic resembled that of the standard pattern by international terrorist organisations. However, its real stronghold was Punjab and its major urban centres. This loose and decentralised structure of the organisation made it more effective and helped in keeping the central structure intact. The small units were known as cells, each of which consisted of about five to eight cadres. Each cell was operationally independent of the other cells. Each cadre and cell was kept secret from other cells and cadres in order to save them from the police if the first cell or cadre was arrested.

According to a news report in 2000, LeJ split into two different factions, headed by Riaz Basra and Qari Abdul Hai alia Talha, respectively. Here, it is pertinent to mention that the latter was the chief of the lashkar's Majlis-i-Shoora (the Supreme Council that decided on all the major issues faced by the group). The report claimed that the major factor behind this division was the issue of whether or not to continue sectarian killings inside Pakistan. As was expected, Riaz Basra wanted to target Shiite important figures, thus forcing the government to accept the demands of the lashkar to act against the Shiites, whereas Qari Abdul Hai opposed this policy, as it would invoke strong response from the government. In addition, he believed that it would create national chaos, which should be avoided for the time being at least.

The lashkar suffered heavy losses during the second term of Nawaz Sharif's government in 1998 who started the crackdown on the sectarian groups involved in the killings, with most of their leaders captured or killed in Punjab.

Riaz Basra was on the US Department of State list of terrorists who 'live in or have lived in, have trained in, are headquartered in or are financed by Afghanistan'. He escaped from the police custody and was wanted by Pakistani authorities in connection with sectarian terrorism. He was described in the US Department of State list as a 'would be assassin' of the deposed Pakistani Premier Nawaz Sharif. Basra was allegedly involved in a terrorist incident on 3 January 1999, in which a bridge on the Lahore–Raiwind road, close to Nawaz Sharif's house, was blown up shortly before the then Prime Minister was due to pass by.